

Capacity-related costs: anticipation stock vs changing capacity

Part 6 · Show me the money — solution report with data, method, results and charts

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1. Capacity-related costs: anticipation stock vs changing capacity

Every strategy meets all demand. Regular production cost is included for comparability; subcontracting is costed at its full unit price.

\$695,941 S1 Level + anticipation S1 Level + anticipation Cheapest strategy	\$791,650 S2 Chase demand \$95,709 Saving vs most expensive	\$734,175 S3 Fixed workforce
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Annual cost of three capacity strategies

S1 Level + anticipation is cheapest with these cost parameters

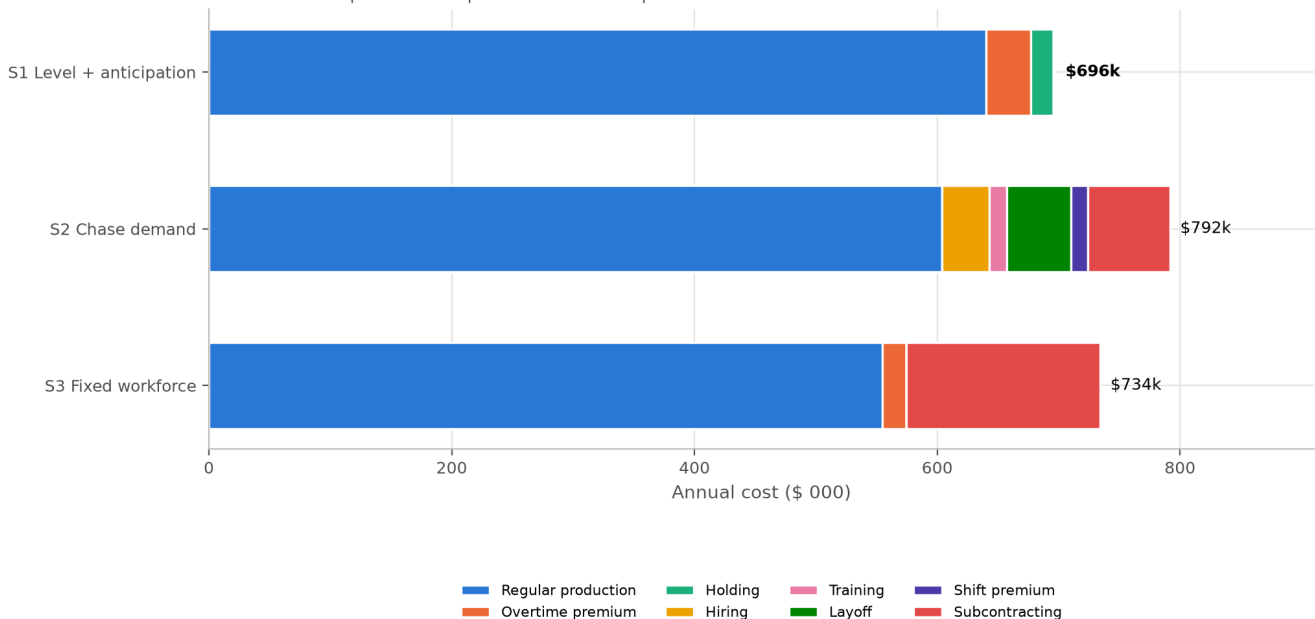


Figure 1.1 — Cost breakdown by strategy.

How each strategy meets the seasonal demand

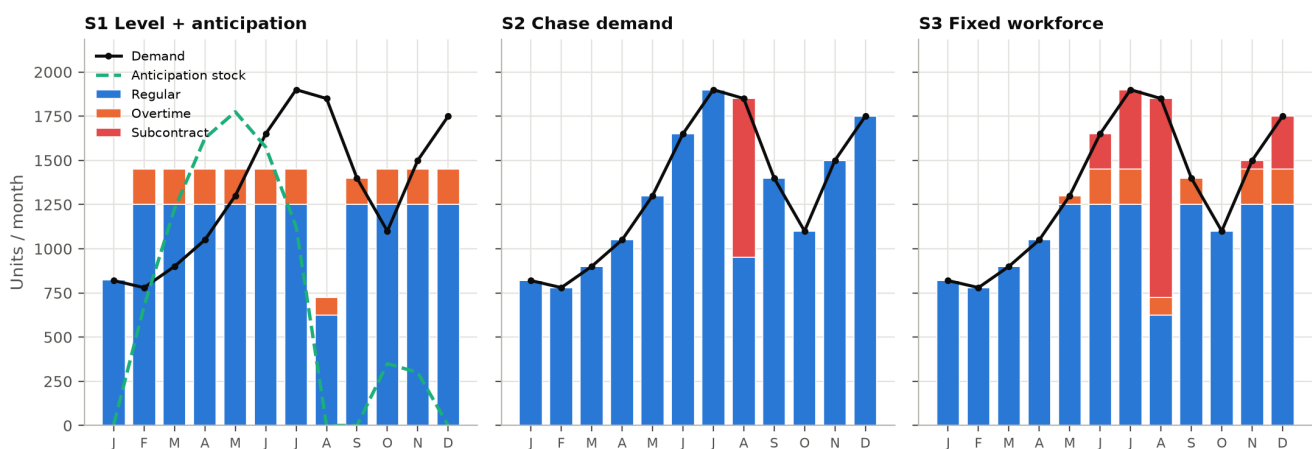


Figure 1.2 — Monthly production by source; dashed = anticipation stock (S1).

Annual cost by strategy and component (\$).

strategy	Regular production	Overtime premium	Holding	Hiring	Training	Layoff	Shift premium	Subcontracting	Total
S1 Level + anticipation	640,000	36,900	19,041	0	0	0	0	0	695,941
S2 Chase demand	604,000	0	0	38,940	14,160	53,100	13,950	67,500	791,650
S3 Fixed workforce	555,000	19,800	0	0	0	0	0	159,375	734,175